

Apple Inc. DCF Assumptions

Key assumptions used throughout the discounted cash flow valuation model

Assumption	Value	Source
2026 Revenue (\$B)	478.29B	Analyst Consensus
2027 Revenue Growth	5.67%	Assumption
2028 Revenue Growth	5.50%	Assumption
2029 Revenue Growth	5.30%	Assumption
2030 Revenue Growth	5.10%	Assumption
2031 Revenue Growth	4.95%	Assumption
EBIT Margin	32.64%	Historical
Tax Rate	21.00%	US Corporate Tax
WACC	8%	Assumption
Terminal Growth Rate	2.50%	Assumption
D&A Percent Revenue	2.60%	Assumption
CapEx % Revenue	2.80%	Assumption
ΔNWC % Revenue	0.50%	Assumption

Revenue projections beyond FY2026 are based on analyst consensus for

Apple Inc. Revenue & Operating Forecast

Five-year operating forecast based on analyst consensus and management assumptions.

Revenue Forecast		
Year	Revenue (\$B)	Growth
2026E	478.29	-
2027E	505.40	5.67%
2028E	533.20	5.50%
2029E	561.46	5.30%
2030E	590.09	5.10%
2031E	619.30	4.95%

Projected Operating Income Statement					
Year	Revenue (\$B)	EBIT Margin	EBIT (\$B)	Tax Rate	NOPAT (\$B)
2026E	478.29	32.64%	156.11	21.00%	123.33
2027E	505.40	32.64%	164.96	21.00%	130.32
2028E	533.20	32.64%	174.04	21.00%	137.49
2029E	561.46	32.64%	183.26	21.00%	144.78
2030E	590.09	32.64%	192.61	21.00%	152.16
2031E	619.30	32.64%	202.14	21.00%	159.69

Apple Inc. Discounted Cash Flow Valuation

Enterprise value estimated using a five-year discounted cash flow model
with a Gordon Growth terminal value.

Apple Inc. (NASDAQ: AAPL) — Enterprise valuation using a five-year DCF model

DCF Valuation Summary	
Item	Value (\$B)
PV of Forecast FCF	628.14
PV of Terminal Value	1824.50
Enterprise Value	2452.64
Current Enterprise Value	4300.00
Difference (%)	-42.96
Conclusion	Overvalued

Free Cash Flow Schedule						
Year	NOPAT (\$B)	D&A	CapEx	ΔNWC	Free Cash Flow	
2026E	123.33	12.44	13.39	2.39	119.98	
2027E	130.32	13.14	14.15	2.53	126.78	
2028E	137.49	13.86	14.93	2.67	133.76	
2029E	144.78	14.60	15.72	2.81	140.85	
2030E	152.16	15.34	16.52	2.95	148.03	
2031E	159.69	16.10	17.34	3.10	155.36	

Discounted Cash Flow valuation			
Year	Free Cash Flow	Discount Factor	Present Value
2026E	119.98	0.9259	111.09
2027E	126.78	0.8573	108.70
2028E	133.76	0.7938	106.18
2029E	140.85	0.7350	103.53
2030E	148.03	0.6806	100.75
2031E	155.36	0.6302	97.90

Enterprise Value Calculation	
Item	Value (\$B)
PV of Forecast FCF	628.14
PV of Terminal Value	1824.5
Enterprise Value	2452.64

Terminal Value	
Item	Value
2031 Free Cash Flow	155.36
Terminal Growth	0.03
2032 FCF	159.24
Terminal Value	2895.25
Discount Factor	0.63
Present value of TV	1824.50

Apple Inc. DCF Sensitivity Analysis

Enterprise Value (\$B) across WACC and Terminal Growth Rate assumptions.

		Terminal Growth				
		1.50%	2.00%	2.50%	3.00%	3.50%
WACC	2895.35					
	7.00%	2867.1	3169.34	3538.76	4000.52	4594.22
	7.50%	2628.17	2881.22	3184.88	3556.02	4019.94
	8.00%	2426.01	2641.12	2895.35	3200.42	3573.28
	8.50%	2252.72	2437.96	2654.07	2909.47	3215.95
	9.00%	2102.54	2263.82	2449.91	2667.01	2923.59

Sensitivity inputs	
WACC	8.00%
Terminal Growth	2.50%

DCF Sensitivity analysis

Enterprise value (\$B) based on varying assumptions for WACC and terminal growth rate.
The highlighted cell represents the base-case valuation.